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2. The Lazy Method

Not everyone has the time or motivation to track all of their expenses. The Lazy person's method is for them. Here you are not tracking all your expenses, you are just tracking the broad categories at the end of the month.

Here you smartly categorise your spendings and pay them via different methods which will help you track your expenses. It might seem cumbersome at first but in 2-3 months you'll get habituated to it.

Monthly Spending

Recurring Expenses : ₹ 40,000

Rent, EMI payments, Insurance Premiums, Salaries

Smaller Recurring but Variable Expenses : ₹ 15,000

Everyday groceries, travel etc

Large Discretionary Expenses : ₹ 5,000

Eating out, Shopping, Entertainment

Total Spending: ₹ 60,000

You have certain major expenses that are recurring, such as rent, EMI payments, insurance premiums, and salaries.

There are your Fixed Recurring Expenses, you can handle them from your main bank account and set up auto pay wherever possible.

Then you have smaller expenses that are recurring but are variable like everyday groceries, and travel.

For Variable Recurring Expenses, which are your living expenses, you can use your digital wallet or withdraw cash. UPI payments are the most convenient and widely acceptable, so it fits well for this category of payments.

Then you have infrequent but larger expenses like eating out, shopping etc.

There are Infrequent but larger discretionary expense and you can use your credit card for these expenses. Using credit cards here is beneficial as most cards have rewards and deals for this category of spending.